

## M/s J.P.S. Steels Pvt. Ltd. v. Paschimanchal Vidyut Vitran Nigam Ltd.

Allahabad High Court · Division Bench · 4 August 2025 · 2025:AHC:131348-DB · WRIT - C No. 34278 of 2014 · **Writ dismissed following Dev Prayag on additional security.**

### HEADNOTE

A writ challenging a distribution licensee's demand of additional security under clause 4.20 of the U.P. Electricity Supply Code, 2005 is dismissed, the Court following M/s Dev Prayag Paper Mill (Pvt.) that such demand is not bad.

### FACTUAL SUMMARY

M/s J.P.S. Steels Pvt. Ltd. challenged Paschimanchal Vidyut Vitran Nigam Ltd.'s demand notice dated 22 May 2014 for additional security under clause 4.20 of the U.P. Electricity Supply Code, 2005. On 7 July 2014 a Division Bench restrained the demand and connected the writ with similar petitions. At final hearing in 2025, counsel stated that the same issue had been decided against the consumer in M/s Dev Prayag Paper Mill (Pvt.) (Writ-C No. 30898 of 2016, 21 March 2017).

### HOLDING-UNITS

#### HOLDING-UNIT · UP-2005::4.20

additional security

#### HOLDING

A writ seeking quashing of a demand notice for additional security under clause 4.20 of the U.P. Electricity Supply Code, 2005 stands dismissed, the Court adopting the conclusion in M/s Dev Prayag Paper Mill (Pvt.) v. State of U.P. (Writ-C No. 30898 of 2016, 21 March 2017) that demand of additional security by the distribution licensee is not bad.

¶ unnumbered

### TABLE OF AUTHORITIES

| AUTHORITY                                                                                                                                    | PROPOSITION | HOW TREATED | CITED BY                 | TREATMENT |
|----------------------------------------------------------------------------------------------------------------------------------------------|-------------|-------------|--------------------------|-----------|
| M/s Dev Prayag Paper Mill (Pvt.) v. State of U.P. & Ors.<br>Writ-C No. 30898 of 2016 (21 March 2017)                                         |             |             | final order (4.8.2025)   | Referred  |
| M/s Supreme Ceramics Limited v. Paschimanchal Vidyut Vitran Nigam Ltd. and others<br>Writ Petition No. 51844 of 2009 (order dated 7.10.2009) |             |             | interim order (7.7.2014) | Referred  |